CLOSING STATEMENT

Cypress Technology Campus | Kansas City, MO

Property	Cypress Technology Campus
Settlement Date	April 20, 2021
Buyer	Keel & Compass Properties
Seller	Pemberton Real Estate Fund III
Sale Price	$355,950,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$355,950,000			
Earnest money deposit		$307,174	$307,174	
Real estate tax proration	$2,898,551			$2,898,551
Rent proration			$3,173,321	
Security deposits assumed	$999,727	$999,727		
Prepaid rents			$3,298,367	$3,298,367
Owner's title policy premium	$794,526			
Lender's title policy premium		$3,358,571	$3,358,571	
Escrow fee	$2,846,089			$2,846,089
Recording fees			$1,552,267	
Transfer tax	$2,062,860	$2,062,860		
Survey			$462,788	$462,788
Legal fees - Buyer	$2,706,381			
Legal fees - Seller		$1,913,301	$1,913,301	
Broker commission	$2,948,915			$2,948,915
Loan origination fee			$1,125,018	
Lender legal	$2,173,481	$2,173,481		
Appraisal fee			$3,042,137	$3,042,137
Environmental report	$1,573,782			
Property condition report		$3,290,067	$3,290,067	
Tax escrow deposit	$1,073,440			$1,073,440
Insurance escrow deposit			$3,318,863	
Replacement reserve deposit	$622,018	$622,018		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$355,950,000			
Legal fees - Seller		$3,078,373	$3,078,373	
Broker commission	$1,868,165			$1,868,165
Loan origination fee			$3,498,075	
Lender legal	$2,665,456	$2,665,456		
Appraisal fee			$3,501,869	$3,501,869
Environmental report	$731,057			
Property condition report		$969,196	$969,196	
Tax escrow deposit	$231,937			$231,937
Insurance escrow deposit			$2,928,994	
Replacement reserve deposit	$3,100,120	$3,100,120		
Utility deposits			$2,680,457	$2,680,457
Assumed vendor contracts credit	$71,731			
Tenant improvement credit		$522,864	$522,864	
Courier / wire fees	$723,115			$723,115
Municipal certificates			$1,514,689	
Purchase price	$661,276	$661,276		
Earnest money deposit			$3,527,358	$3,527,358
Real estate tax proration	$768,371			
Rent proration		$3,430,398	$3,430,398	
Security deposits assumed	$2,364,789			$2,364,789
Prepaid rents			$1,588,413	
Owner's title policy premium	$2,675,422	$2,675,422		
Lender's title policy premium			$226,562	$226,562
Escrow fee	$1,142,465			
Recording fees		$3,536,985	$3,536,985	
Transfer tax	$2,384,358			$2,384,358
Survey			$1,838,224	

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Operating Performance

Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $223,000, representing a 8.5% increase over the prior year. Operating expenses totaled $75,000 or approximately 16.03 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $390,000 or approximately 44.16 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $79,000, representing a 4.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Valuation Discussion

The going-in capitalization rate of 6.75% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $175,000 or approximately 20.11 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.14x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $11,000, representing a 5.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.44% reflects the in-place income and the stabilized occupancy assumption.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 31 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 6.84% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. Effective gross income for the trailing period was $53,000, representing a 2.5% increase over the prior year.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.16x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$355,950,000			
Tenant improvement credit		$830,422	$830,422	
Courier / wire fees	$3,047,144			$3,047,144
Municipal certificates			$3,263,951	
Purchase price	$3,479,873	$3,479,873		
Earnest money deposit			$2,686,535	$2,686,535
Real estate tax proration	$2,600,081			
Rent proration		$512,683	$512,683	
Security deposits assumed	$3,040,347			$3,040,347
Prepaid rents			$3,236,262	
Owner's title policy premium	$3,247,515	$3,247,515		
Lender's title policy premium			$1,576,217	$1,576,217
Escrow fee	$1,948,835			
Recording fees		$614,401	$614,401	
Transfer tax	$1,130,901			$1,130,901
Survey			$2,296,495	
Legal fees - Buyer	$767,879	$767,879		
Legal fees - Seller			$549,826	$549,826
Broker commission	$1,833,468			
Loan origination fee		$2,854,307	$2,854,307	
Lender legal	$1,663,556			$1,663,556
Appraisal fee			$989,529	
Environmental report	$3,235,484	$3,235,484		
Property condition report			$973,832	$973,832
Tax escrow deposit	$3,536,305			
Insurance escrow deposit		$2,133,433	$2,133,433	
Replacement reserve deposit	$1,211,190			$1,211,190
Utility deposits			$3,228,511	

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Income and Expense Review

Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.67% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Effective gross income for the trailing period was $147,000, representing a 7.9% increase over the prior year. Operating expenses totaled $402,000 or approximately 44.03 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Operating expenses totaled $272,000 or approximately 14.32 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.95x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $51,000, representing a 2.8% increase over the prior year.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Carrier-neutral meet-me room supports multiple fiber providers. Effective gross income for the trailing period was $178,000, representing a 11.3% increase over the prior year. Debt service coverage ratio was 6.39x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 8 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$355,950,000			
Recording fees		$2,671,574	$2,671,574	
Transfer tax	$3,053,316			$3,053,316
Survey			$2,721,133	
Legal fees - Buyer	$121,254	$121,254		
Legal fees - Seller			$1,396,303	$1,396,303
Broker commission	$1,843,458			
Loan origination fee		$1,047,089	$1,047,089	
Lender legal	$500,406			$500,406
Appraisal fee			$3,182,601	
Environmental report	$3,225,799	$3,225,799		
Property condition report			$3,160,763	$3,160,763
Tax escrow deposit	$3,046,145			
Insurance escrow deposit		$3,431,361	$3,431,361	
Replacement reserve deposit	$86,698			$86,698
Utility deposits			$2,797,446	
Assumed vendor contracts credit	$663,268	$663,268		
Tenant improvement credit			$502,898	$502,898
Courier / wire fees	$3,119,086			
Municipal certificates		$1,505,835	$1,505,835	
Purchase price	$2,011,664			$2,011,664
Earnest money deposit			$3,227,221	
Real estate tax proration	$1,231,432	$1,231,432		
Rent proration			$2,603,448	$2,603,448
Security deposits assumed	$1,933,897			
Prepaid rents		$929,265	$929,265	
Owner's title policy premium	$3,243,113			$3,243,113
Lender's title policy premium			$1,734,818	

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